



KENYATTA UNIVERSITY

UNIVERSITY EXAMINATIONS 2014/2015

DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING

SECOND SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF
COMMERCE

BAC 303: PRINCIPLES OF AUDITING

DATE: Tuesday 28th April 2015

TIME: 2.00p.m - 4.00p.m

INSTRUCTIONS

Answer all questions

1. a) Explain the importance of the concept of professional independence to the editor. [5marks]
 b) Name five ways in which independence of the auditor could be compromised in the course of his duties. [5mark]
2. a) What is audit evidence? [4marks]
 b) Describe and compare the reliability of the following sources of audit evidence, giving three examples of each:
 i) Audit evidence originated by the author. [4marks]
 ii) Evidence obtained from third parties directly to the auditor. [4marks]
 iii) Evidence provided to the auditor by the client. [4marks]
3. a) Define the term internal control. [4marks]
 b) Explain the features of a good internal control system. [16marks]
4. a) Briefly explain the purpose of a letter of representation. [4marks]
 b) Explain the three types of qualified opinions and the circumstances in which each type of opinion may be issued by the auditor. [6marks]
 c) List four examples of situations where an auditor wish to rely upon the report of a specialist. [10marks]